Unit 12

FINAL ACCOUNTS OF SOLE PROPRIETORS - I

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12.1 Introduction to final accounts
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Points to recall

Following points are to be recalled before learning final accounts of sole proprietors - I:

- Accounting process
- Trial balance
- Dual aspect concept, Historical cost concept, Periodicity concept and Matching concept
- Differences between capital expenditure and revenue expenditure
- Differences between capital receipts and revenue receipts

Learning Objectives

To enable the students to

- Understand the meaning of final accounts and the purpose they serve
- Prepare trading and profit and loss account and balance sheet

Key terms to know

- Final accounts
- Financial statements
- Income statement
- Trading account
- Profit and loss account
- Cost of goods sold
- Gross profit
- Net profit
- Financial position
- Balance sheet

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